

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

Unless otherwise noted, the section references to (i) “us”, “our”, “we”, “the Company” and “YUM” refer to YUM! Brands, Inc. and its consolidated subsidiaries, (ii) “the Parent” refers to YUM! Brands, Inc., on a stand-alone basis, (iii) “the Issuers” refers to KFC Holding Co., Pizza Hut Holdings, LLC and Taco Bell of America, LLC, which are direct wholly-owned subsidiaries of the Parent and co-issuers of \$750 million of 4.75% Senior Notes due 2027 (the “Subsidiary Senior Unsecured Notes”) and co-borrowers under the Credit Agreement, as defined in our annual report on Form 10-K for the year ended December 31, 2023 filed with the SEC (the “2023 10-K”) on February 20, 2024; (iv) “the Specified Guarantors” refers to collectively Yum Restaurant Services Group, LLC, Restaurant Concepts LLC and Taco Bell Corp. (including their subsidiaries except for Taco Bell Funding, LLC and its special-purpose, wholly owned subsidiaries), which are directly wholly-owned subsidiaries of the Parent and guarantors of the Subsidiary Senior Unsecured Notes and under the Credit Agreement; (v) “the Companies” refers to collectively the Issuers and the Specified Guarantors, (vi) “the Taco Bell Securitization Entities” refers to collectively Taco Bell Funding, LLC, a Delaware special purpose limited liability company and wholly owned subsidiary of Taco Bell Corp, and its special-purpose, wholly owned subsidiaries, (vii) “the Habit Entities” refers to collectively The Habit Restaurants, Inc., The Habit Restaurants, LLC, HBG Franchise, LLC, and Habit Employment, L.P. and (viii) the “Restricted Group” refers collectively to the Companies and their subsidiaries, other than the Taco Bell Securitization Entities which will not be subject to the covenants under the Indenture governing the Subsidiary Senior Unsecured Notes and the Credit Agreement, and also excludes the Parent and ABR Insurance Company which will not be subject to such covenants as well.

This discussion should be read in conjunction with the Consolidated Financial Statements (“Financial Statements”) and the section “Management’s Discussion and Analysis of Financial Condition and Results of Operations” contained in our 2023 10-K and contains additional information related to the pro forma results of operations and financial condition of the Restricted Group. None of the financial information in this discussion has been audited or reviewed by our auditors. This discussion has been prepared and posted to our website in accordance with our reporting obligations under the Indenture governing the Subsidiary Senior Unsecured Notes and the Credit Agreement. You should read the following Restricted Group’s pro forma results of operation and financial condition together with the information included in our 2023 10-K, especially the information under the heading “Risk Factors”.

Pro Forma Results of Operations for the Restricted Group

The following table sets forth certain unaudited financial and operating data of the Restricted Group as of the dates and for the periods indicated after giving pro forma effect to the exclusion of the Taco Bell Securitization Entities and the exclusion of the Habit Entities (until April 8, 2021, at which time the Habit Entities were contributed by YUM to the Restricted Group) as well as the exclusion of Parent Entity Expenses from the Restricted Group.

(in millions)	Amount			% B/(W)	
	2023	2022	2021	2023	2022
Company sales	\$ 2,142	\$ 2,072	\$ 1,985	3	4
Franchise and property revenues	2,427	2,351	2,238	3	5
Franchise contributions for advertising and other services	1,687	1,674	1,578	1	6
Total revenues	<u>6,256</u>	<u>6,097</u>	<u>5,801</u>	3	5
Company restaurant expenses	1,833	1,800	1,667	(2)	(8)
G&A expenses	1,082	1,038	922	(4)	(13)
Franchise and property expenses	123	123	117	(1)	(4)
Franchise advertising and other services expense	1,683	1,667	1,576	(1)	(6)
Refranchising (gain) loss	(29)	(27)	(35)	NM	NM
Other (income) expense	14	7	2	NM	NM
Total costs and expenses, net	<u>4,706</u>	<u>4,608</u>	<u>4,249</u>	(2)	(8)
Operating Profit	1,550	1,489	1,552	4	(4)

For fiscal years 2023, 2022 and 2021 rent expense for the Restricted Group was \$138 million, \$143 million and \$144 million, respectively.

	2023	2022	2021	% Increase (Decrease)	
				2023	2022
<u>Unit Count</u>					
Franchise & License	50,769	47,637	45,833	7	4
Company-owned	1,017	990	1,051	3	(6)
	<u>51,786</u>	<u>48,627</u>	<u>46,884</u>	6	4

	2023	2022	2021
Same-Store Sales Growth (Decline) %	6	3	10
System Sales Growth (Decline) %, reported	7	-	17
System Sales Growth (Decline) %, excluding FX	10	6	14

Habit Burger Grill:

On March 18, 2020, YUM! Brands, Inc. completed the acquisition of all the issued and outstanding common shares of The Habit Restaurants, Inc., which owns the restaurant concept The Habit Burger Grill. The Habit Entities were excluded from the Restricted Group until April 8, 2021, at which time the Habit Entities were contributed by YUM to the Restricted Group. The exclusion of the Habit Entities from the Restricted Group had the following pro forma impact on the financial and operating data of the Restricted Group in comparison to the corresponding data of YUM.

- Company sales of \$121 million and company restaurant expenses of \$110 million were excluded from the Restricted Group for the fiscal year 2021.
- Franchise and property revenues of \$1 million were excluded from the Restricted Group for the fiscal year 2021.
- G&A expenses of \$12 million were excluded from the Restricted Group for the fiscal year 2021.

Parent Entity Expenses:

Amounts transferred to or on behalf of Yum! Brands, Inc. as Parent Entity Expenses (as defined in the Indentures) or operating costs and expenses incurred in the ordinary course of business (as permitted by the Credit Agreement) are excluded from G&A expenses of the Restricted Group. G&A expenses of the Restricted Group were reduced for such costs by \$7 million, \$7 million and \$6 million for the fiscal years ended 2023, 2022 and 2021, respectively.

Pro Forma Results of Operations for the Taco Bell Division of the Restricted Group

The following table sets forth certain unaudited financial and operating data of the Taco Bell Division of the Restricted Group as of the dates and for the periods indicated after giving pro forma effect to the exclusion of the Taco Bell Securitization Entities from the Restricted Group.

			% B/(W)		% B/(W)		
			2023		2022		
	2023	2022	2021	Reported	Ex FX	Reported	Ex FX
System Sales	\$ 2,004	\$ 1,805	\$ 1,609	11	11	12	16
Same-Store Sales Growth %				3	N/A	8	N/A
Company sales	\$ 1,069	\$ 1,002	\$ 944	7	7	6	6
Franchise and property revenues	98	92	81	7	7	14	17
Franchise contributions for advertising and other services	654	598	552	9	9	8	8
Total revenues	<u>\$ 1,821</u>	<u>\$ 1,692</u>	<u>\$ 1,577</u>	8	8	7	8
Company restaurant profit	\$ 193	\$ 181	\$ 173	7	7	4	4
Company restaurant margin %	18.2 %	18.1 %	18.4 %	0.1 ppts.	0.1 ppts.	(0.3) ppts.	(0.3) ppts.
G&A expenses	\$ 100	\$ 96	\$ 54	(5)	(5)	(77)	(78)
Franchise and property expenses	32	33	33	4	4	1	-
Franchise advertising and other services expense	644	599	553	(7)	(7)	(8)	(8)
Operating Profit	\$ 169	\$ 145	\$ 165	17	17	(13)	(11)

<u>Unit Count</u>	% Increase (Decrease)				
	2023	2022	2021	2023	2022
Franchise	1,159	1,020	789	14	29
Company-owned	483	464	462	4	-
Total	<u>1,642</u>	<u>1,484</u>	<u>1,251</u>	11	19

Company Sales. In 2023, the increase in Company sales was driven by company same-store sales growth of 5% and unit growth, partially offset by refranchising.

Company Restaurant Margin %. In 2023, the increase in Company restaurant margin percentage was driven by same-store sales growth, partially offset by higher labor costs, commodity inflation and increases in other restaurant operating costs.

G&A Expenses. In 2023, the increase in G&A was driven by higher digital and technology expenses and higher headcount and salaries, partially offset by lower expenses related to our annual incentive compensation programs and higher management fees paid by the Taco Bell Securitization Entities.

Operating Profit. In 2023, the increase in Operating Profit was driven by same-store sales growth and unit growth, partially offset by higher restaurant operating costs and higher G&A.

Taco Bell Securitization Entities:

The Securitization Transaction and the exclusion of the Taco Bell Securitization Entities from the Restricted Group had the following pro forma impact on the financial and operating data of the Restricted Group and the Taco Bell Division of the Restricted Group in comparison to the corresponding data of YUM and the Taco Bell Division:

Units

- A total of 6,922, 6,734 and 6,540 U.S. Taco Bell franchise units were excluded from the Restricted Group for the fiscal years 2023, 2022 and 2021, respectively, as the Restricted Group does not receive franchise fees from these restaurants.

Franchise and Property Revenues

- Franchise and property revenues of \$820 million, \$745 million and \$661 million were excluded from the Restricted Group for the fiscal years 2023, 2022 and 2021, respectively, due to the exclusion of the franchise fees paid by all U.S. Taco Bell franchise restaurants as a result of the Securitization Transaction.

Company Restaurant Expenses

- The Restricted Group includes \$59 million, \$55 million and \$52 million of additional company restaurant expenses for the fiscal years 2023, 2022 and 2021, respectively, due to the payment of royalty fees of 5.5% of annual sales to the Taco Bell Securitization Entities by all U.S. Company-owned Taco Bell restaurants (which are part of the Restricted Group).

G&A Expenses

- Management fees of \$104 million, \$95 million and \$120 million for the fiscal years 2023, 2022 and 2021, respectively, were paid by the Taco Bell Securitization Entities to Taco Bell Corp. as manager of the Taco Bell Securitization Entities, and were recorded as a reduction of G&A expenses for the Restricted Group.
- Prior to August 19, 2021, on an annual basis, these management fees were equal to the sum of a base fee of \$35 million (subject to 2% per annum escalation, compounded annually) plus 15.1% of total securitization cash revenue paid to the Taco Bell Securitization Entities by U.S. company stores and U.S. franchisees for the year. Effective August 19, 2021, pursuant to a refinancing transaction completed by the Taco Bell Securitization Entities, these management fees, on an annual basis, are equal to the sum of a base fee of approximately \$30 million (subject to 2% per annum escalation, compounded annually) plus 8.7% of total securitization cash revenue paid to the Taco Bell Securitization Entities by U.S. company stores and U.S. franchisees for the year.

Consequently, the overall operating margins of the Restricted Group are negatively impacted due to the exclusion of franchise and license fees from U.S. Taco Bell franchised restaurants and the Restricted Group's obligation to pay franchise fees on U.S. Taco Bell Company-owned restaurants to the Taco Bell Securitization Entities, with no corresponding reduction of Restricted Group expenses (other than a partial offset by the management fee paid to the Restricted Group by the Taco Bell Securitization Entities as reimbursement for a portion of G&A expenses).